EXCERPT

Stablecoin 2.0: Own the Stack

An Institutional Primer to Modular Stablecoin Infrastructure

A guide to modular stablecoin and digital asset infrastructure for institutions.
Own the stack, choose your counterparties, and expand your margins.

utila

Stablecoin 1.0 vs. 2.0 - From the Black Box to Owning the Stack

CHAPTER OVERVIEW

Most companies begin their stablecoin operations with an all-in-one provider that bundles wallets, compliance, on/off-ramps, and sometimes licensing into a single package. This chapter explains why that model works early on but breaks down at scale - and what the alternative looks like. It covers the four infrastructure elements companies need to own, the margin argument for internalizing flows, the licensing obstacle, and how Utila enables the transition.

Stablecoin 1.0: the black-box model

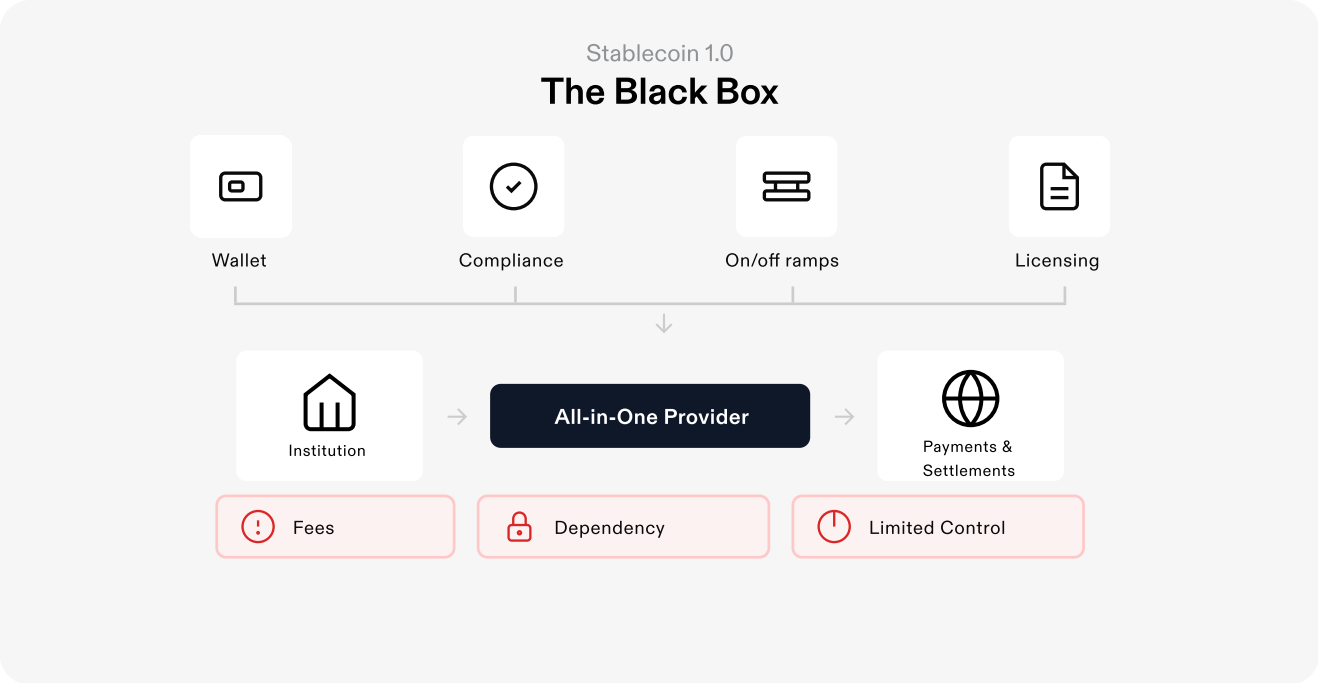
Most institutions today access stablecoin liquidity and payment capabilities through external platform providers that offer an all-in-one bundle: wallets, compliance, on/off-ramps, and licensing under a single umbrella.

This is what we call the Stablecoin 1.0 model. It has proven that stablecoins work for financial enterprises and institutions, and enabled rapid market entry, especially for teams that want to test volumes without building infrastructure.
The trade-off is that, in this model, the stack offered is largely pre-packaged and opaque.

The provider of the black-box solution brings the relationships across the underlying components, allowing the institution to plug in quickly - but with limited visibility into how each layer works, who powers it, and how flexible it is as requirements evolve.

At low volumes, that trade-off can be reasonable. But as transaction volumes grow and stablecoins become a strategic priority rather than an experiment, three limitations surface:

- **Margin erosion:** Each transaction carries a third-party fee, and even if the provider secures low underlying costs, they can retain a meaningful share – at scale, that becomes a material drag on profitability.
- **Dependency risk:** When stablecoin operations run on external infrastructure, workflows become coupled to a third party's uptime, tooling, and release cadence, limiting the ability to tailor flows, iterate on products, or respond to market-specific requirements.
- **Loss of control:** The black box makes it difficult to negotiate directly with liquidity providers, choose your own AML vendor, optimize compliance workflows, or retain direct control of private keys. It creates the appearance of operating stablecoin infrastructure, while the critical decisions remain in someone else's hands.

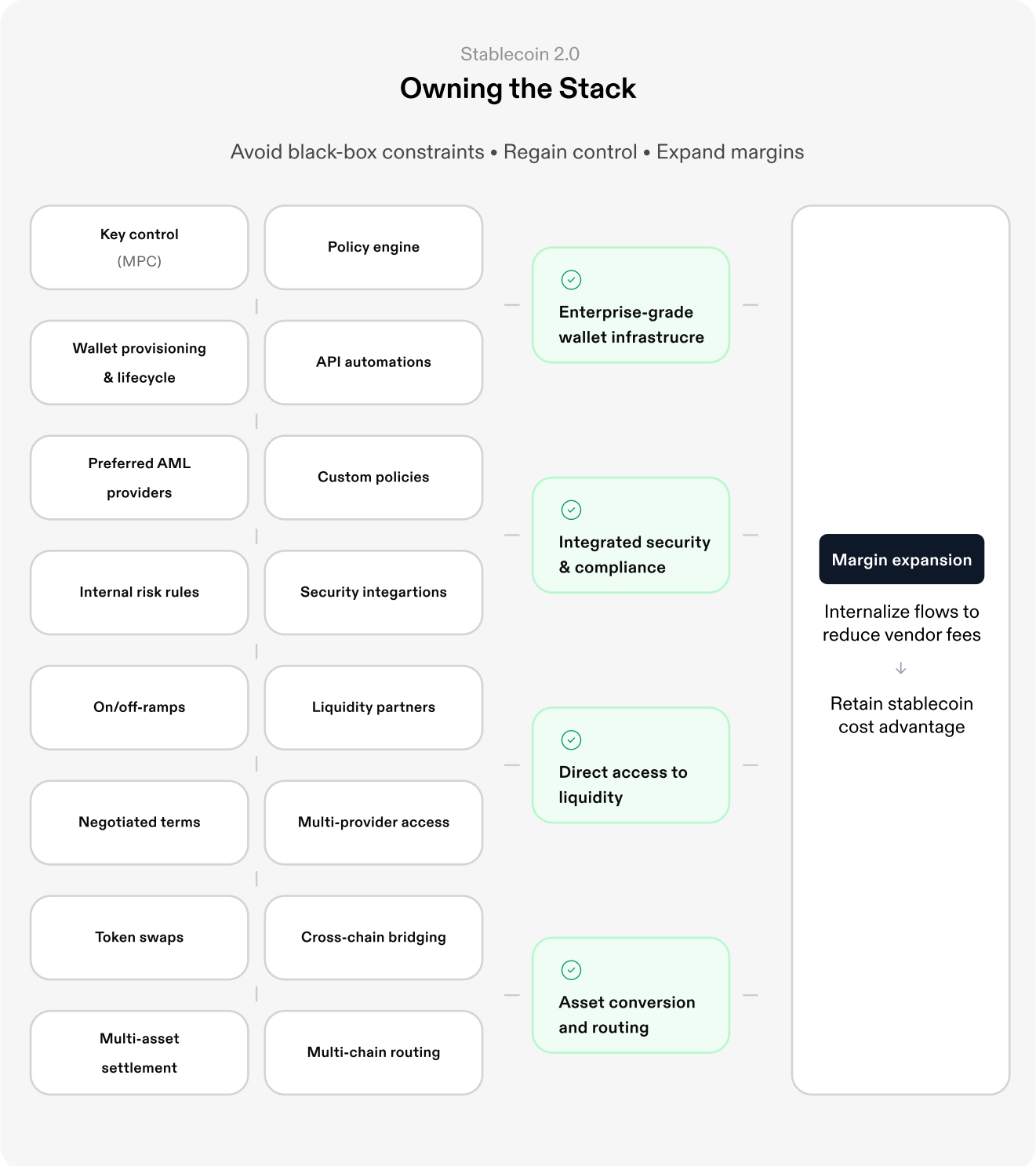


WHEN DOES THE BUNDLED MODEL STOP WORKING?

In conversations with leading payment companies, we see a consistent pattern: the limitations surface when stablecoins move from an experiment to a core operational flow. The trigger is usually volume - when the margin impact of per-transaction fees becomes visible to finance, or when the operations team hits a wall trying to customize a workflow that the bundled provider does not support.

Taking control: the four infrastructure pieces to own

To move past the constraints of the bundled model, companies need to control at least four elements of the infrastructure stack. These are the layers where control translates directly into operational flexibility, cost reduction, and resilience.



Element	What it means	Why it matters
Enterprise-grade MPC wallet infrastructure	Integrated wallet systems that govern assets, policies, roles, transaction flows, staking, and verifiable audit trails.	The wallet layer is where payment and treasury control begins. In a bundled platform, the institution may operate wallets, but policies, approvals, integrations, supported networks, and provider access are still shaped by the platform. A dedicated MPC-secured wallet layer gives institutions control over key shares, permissions, approval workflows, and ecosystem connectivity, while keeping the operating model flexible as requirements change.
Integrated security & compliance	Security modules with your preferred AML/KYT providers, tailored execution rules, custom risk controls.	Regulation and risk standards vary by jurisdiction and use case. Pluggable compliance means you configure your own rules, use your preferred vendors, and adapt to new launch geos/products without re-platforming.
Direct access to liquidity	Direct connectivity to on/off-ramp providers, liquidity venues, OTC desks, exchanges, and regional partners across relevant jurisdictions.	You negotiate your own rates, fee structures, and SLAs with ramp counterparties. If one provider underperforms, you route through another without migrating your tech stack.
Asset conversion and routing	The ability to swap and bridge across assets and networks to meet business and user needs.	Stablecoin flows often span assets, networks, and counterparties. If a client sends USDT on TRON but your treasury operates in USDC on Ethereum, routing determines how that value is converted and settled. Modular routing gives you more control over paths, counterparties, and economics.

These four elements are interdependent. Wallet infrastructure without ecosystem access or compliance integration leaves gaps. Liquidity access without conversion capability limits which corridors you can serve. The value comes from owning all four together - a composable stack where each layer works with the others and can be adjusted independently as your business evolves.

From margin contraction to expansion

The biggest rationale for and advantage of owning the stack is the opportunity for margin expansion. By internalizing transaction flows, companies capture value that would otherwise be ceded to vendors.

This is particularly critical in payments, where margin optimization is an existential concern. Stablecoins are attractive precisely because they can reduce costs compared to traditional rails.

But when excessive fees are paid to a bundled provider, much of that advantage is surrendered.

Controlling more of the stack means retaining more of the transaction economics. When stablecoin volumes reach the hundreds of millions or billions, even small differences in fees and intermediary margin become economically meaningful.

For a payment company processing $500 million in monthly stablecoin volume, the gap between a bundled provider's fee and the direct cost of running owned infrastructure can translate into millions of dollars in annual margin.

> THE MARGIN QUESTION IN PRACTICE
>
> Ask your finance team: what percentage of each stablecoin transaction goes to your infrastructure provider? How does that compare to the underlying network and ramp costs? The gap between the two is the margin you are leaving on the table. As volumes grow, that gap compounds.

The Licensing Question

For many organizations, licensing is the main constraint on the transition to Stablecoin 2.0.

Traditional payments licenses are often insufficient for stablecoin activity. In Europe, for example, even firms operating under EMI or Payment Institution frameworks may need additional MiCA authorization to offer certain stablecoin services to clients.

Obtaining the necessary authorization can take 12–24 months and require significant regulatory effort. That creates a timing problem for teams that are ready to build, validate demand, and enter the market while their licensing strategy is still developing.

Until recently, the usual shortcut was to rely on a provider that bundled regulatory coverage with the rest of the stablecoin stack. That could accelerate launch, but it also meant allowing the licensing decision to determine the wallet, compliance, liquidity, and operating infrastructure underneath the product.

The Licensed Partner Network

Utila's Licensed Partner Network separates those decisions. Fintechs can work with licensed partners across supported markets and activities while building their wallet and operating infrastructure on Utila.

Companies can use partner coverage as their long-term regulatory model or, if they later secure their own authorization, transition without rebuilding the infrastructure underneath the product. That brings licensing into the same modular model as the rest of Stablecoin 2.0.

How Utila enables Stablecoin 2.0

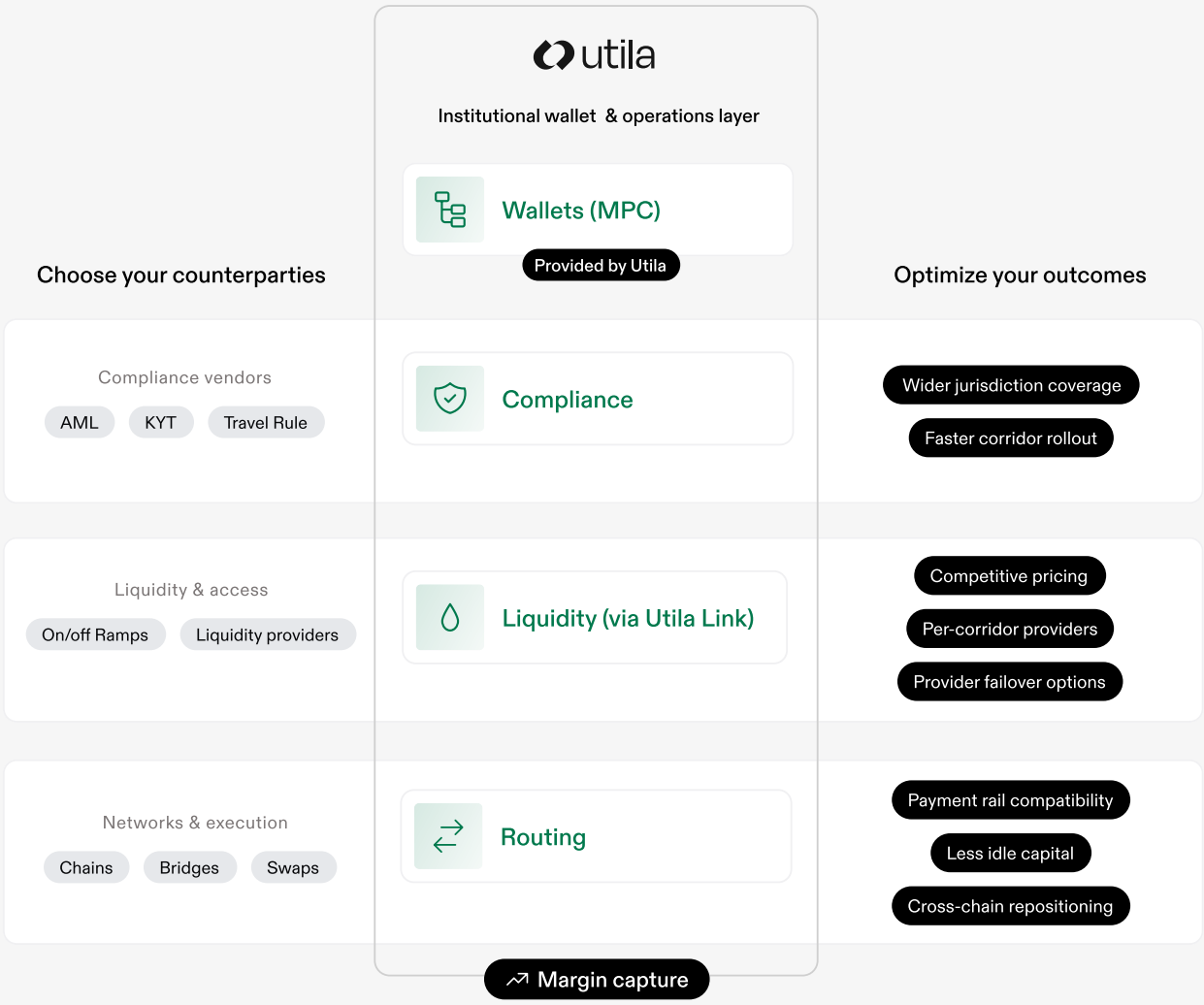
Utila is built for institutions that want control over the stablecoin stack, counterparties, and unit economics. The platform maps directly to the core elements described above.

- **Self-custodial MPC wallets** give institutions direct key control and granular policy enforcement.
- **Native compliance integrations** with providers including Chainalysis, TRM, and Elliptic let institutions choose and contract with the AML/KYT provider that fits their requirements.
- **Utila Link** provides direct connectivity to on/off-ramp and liquidity providers across jurisdictions, with the ability to negotiate terms and diversify execution partners.
- **Built-in swaps, bridging, and multi-chain** support handle asset conversion and routing at the infrastructure level, including BYO EVM for custom network requirements.
- **Licensed Partner Network** gives fintechs access to licensed partners including Fipto, CoinGate, Balance, and Surus across the EU, US, and Canada, while keeping the underlying wallet and operational infrastructure on Utila.

Stablecoin 2.0

Composable Stablecoin Infrastructure

Own the Stack. Control the Margins



Utila's Licensed Partner Network

fipto · coingate · Balance · Surus

Licensed partner coverage

↘ Continue with partner coverage

↗ Transition to your own authorization

KEY TAKEAWAYS

01

The Stablecoin 1.0 model - bundled wallets, compliance, ramps, and licensing from a single provider - works for getting started. It does not scale well. The limitations show up as margin erosion, dependency risk, and loss of operational control.

02

Stablecoin 2.0 means owning four elements of the stack: wallet infrastructure (starting with private key control), integrated compliance, direct liquidity access, and asset conversion and routing.

03

The primary driver for the transition is margin. Internalizing transaction flows recaptures value that bundled providers extract on every transaction. At institutional volumes, the difference is material.

04

Licensing is the most common blocker. A transition model - building on owned infrastructure while operating under an established license, then transferring to full autonomy - solves the sequencing problem.

05

The infrastructure you choose during the transition period should carry you to independence. If you have to migrate when your license arrives, you chose the wrong stack.



Stablecoin 2.0: A Guide to Modular Stablecoin Infastructure

The operational principles and insfrastructure guidelines your company needs to secure your digital asset operations at scale.

Download Guide →

utila.io/guides-and-reports/